

1-5a A Glance at the Global Economy

The global economy in 2013 was an approximately US\$75 trillion economy (total global GDP calculated at official, nominal exchange rates—US\$100 trillion on PPP basis). While there is no need to memorize a lot of statistics, it is useful to remember this US\$75 trillion (or US\$100 trillion) figure to put things in perspective.

One frequent observation in the globalization debate is the enormous size of MNEs. Take a look at the largest MNE within one sizeable country: Volkswagen’s worldwide sales would represent 10% of German GDP, Samsung’s sales 17% of South Korean GDP, and BP’s sales 26% of British GDP. [Table 1.3](#) shows the most recent top ten firms. The top three largest MNEs—measured by sales—happened to be headquartered in North America, Europe, and Asia. If the largest MNE, Wal-Mart, were an independent country, it would be the 27th largest economy—its sales are smaller than Belgium’s GDP but larger than Venezuela’s. The sales of the largest EU-based MNE, Royal Dutch Shell, were larger than the GDP of each of the following EU member countries: Austria, Denmark, Finland, Portugal, and Ireland. The sales of the largest Asia-based MNE, SINOPEC, were larger than the GDP of each of the following Asian economies: Thailand, Malaysia, Hong Kong, Singapore, and the Philippines. Today, more than 82,000 MNEs manage at least 810,000 subsidiaries overseas. Total annual sales for the largest 500 MNEs exceed US\$31 trillion (about one-third of global output).

Table 1.3

Top Ten Largest Firms in the World (Measured by Sales in US\$)

	Corporate name	Home country	Revenues
1	Wal-Mart Stores	USA	\$476 billion
2	Royal Dutch Shell	Netherlands	\$460 billion
3	SINOPEC Group	China	\$457 billion
4	China National Petroleum Corporation	China	\$432 billion

	Corporate name	Home country	Revenues
5	ExxonMobil	USA	\$408 billion
6	BP	UK	\$396 billion
7	State Grid	China	\$333 billion
8	Volkswagen	Germany	\$261 billion
9	Toyota Motor	Japan	\$256 billion
10	Glencore	Switzerland	\$233 billion

Source: Adapted from *Fortune*, 2014, *Global 500*, July 21: F-1. Data refer to 2013.

Table 1.4 documents the change in the makeup of the 500 largest MNEs. While MNEs from the Triad (North America, Europe, and Japan) dominate the list, their share has been shrinking—thanks to the Great Transformation (discussed earlier). Among MNEs from emerging economies, those from BRIC contribute 118 firms to the *Fortune* Global 500 list. In particular, MNEs from China have come on strong.

Table 1.4

Recent Changes in the *Fortune* Global 500

	2005	2010	2014
Developed economies			
United States	170	133	128
European Union	165	149	128
Japan	70	68	57
Switzerland	12	15	13

	2005	2010	2014
Canada	14	11	10
Australia	8	8	8
<i>Emerging economies</i>			
China	20	61	95
India	6	8	8
Brazil	4	7	7
Russia	5	7	8
BRIC	35	83	118
Sources: Adapted from various <i>Fortune</i> issues. The most recent <i>Fortune Global 500</i> list (for 2014) was published in <i>Fortune</i> , July 21, 2014.			

Beijing is now headquarters to 52 *Fortune* Global 500 firms, more than New York's 20—remember Question 4 in Opening Day Quiz. Clearly, Western rivals cannot afford to ignore these emerging multinationals, and students studying this book need to pay attention to these emerging multinationals.

Chapter 1: Globalizing Business: 1-5a A Glance at the Global Economy

Book Title: WGU Economics

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